

H-E-B Curbside & Delivery Services

Section 1. Executive Summary

H-E-B is a Texas-based grocery store retailer (some presence in Mexico), and one of their provided services is curbside and delivery. As online grocery shopping, delivery and curbside service demand increases, H-E-B must keep up with demand while competing against competitors such as Walmart, Target and Amazon Fresh. This research proposal examines H-E-B's digital grocery services and how factors such as order accuracy, timeliness of curbside orders/deliveries and platform usability impact customer satisfaction, subsequently impacting customer loyalty. The research question asks: How does the quality of service and dependability of H-E-B's delivery and curbside pickup services impact customer satisfaction and loyalty, including customer perceptions of similar services offered by competitors like Walmart, Amazon Fresh and Target? This research proposal has five hypotheses that suggest that accuracy issues, platform difficulties, and order delays negatively impact customer satisfaction. Customer loyalty is dependent on the level of customer satisfaction. It is also hypothesized that customers who see H-E-B as superior to competitors have stronger levels of customer loyalty. To test these hypotheses, a quantitative, non-probability online survey would be administered to a convenience sample of adults (18+) who have used H-E-B curbside or delivery services in the past six months. Survey responses give measurable results on satisfaction levels, customer experiences with service, consumer perceptions of competitors, and potential future behavioral conduct. These findings will help H-E-B identify issues in curbside and delivery operations, as well as practices that are working well, in order to make improvements and increase customer satisfaction and loyalty.

Section 2. Problem Definition & Exploratory Research

Background

Founded in 1905, H-E-B Grocery Company, LP (H.E. Butt Grocery Co.) is a privately owned Texas-based grocery store chain (H-E-B, n.d.). H-E-B is known both for their grocery stores and their philanthropic acts. After all, one of their slogans is “We are a people company – We just happen to sell groceries” (H-E-B, n.d.). As of recent years, H-E-B has grown its delivery and curbside services to better serve and meet the needs of its community, as well as keep up with other competitors such as Walmart, Amazon Fresh and Target who offer similar services. The customers who use this service include college students, young professionals, busy families, elderly, people with limited mobility, people without access to a car (delivery services), and customers who appreciate the convenience of the service.

H-E-B has strong ties to the community, but companies such as Target, Walmart Grocery, Amazon Fresh and Target Drive Up & Delivery still pose to be competitors. Post COVID-19, online grocery demand has increased, a key trend impacting grocery stores. Along with increased demand for online grocery delivery and pick-up options, accurate and swift service are not only appreciated but expected. H-E-B's strategy for growth is to improve digital capabilities, expand delivery zones, have automated fulfillment centers, and improve the app and website to be more functional and user-friendly. H-E-B's focus is to increase convenience for curbside and delivery shoppers and provide faster service, both aspects that would contribute to growth. During the COVID-19 Pandemic, online grocery shopping skyrocketed. Pick-up services increased by 255%, and grocery delivery services increased by 158% (Kirkpatrick et al., 2021). Once COVID-19 cases began to stabilize, online grocery shopping began to naturally decrease. However, COVID-19 had a profound impact on grocery stores and the online grocery shopping environment. A report published in 2025 by Brick Meets Click (sponsored by Mercatus) revealed

that United States online grocery sales in March of 2025 hit a striking \$9.7 billion U.S. dollars, which was a 21% increase in sales compared to 2024 (Brick Meets Click, 2025). Pre-COVID, Ship-to-Home online grocery shopping was more common, but as of 2025 delivery services made up 43% of online grocery sales and pick up services accounted for about 39% (Brick Meets Click, 2025). By July of 2025, online grocery sales climbed to \$10 billion U.S. dollars (Brick Meets Click, 2025).

Decision Problem

H-E-B faces marketing decisions and challenges in relation to order accuracy issues and inventory visibility. A common issue in online grocery shopping is customers reporting missing or substituted items (The Feedback Group, 2025). Timeliness of curbside or delivery services is also important, as competitors like Walmart and Amazon continue to raise the bar higher (NielsenIQ, 2024). H-E-B faces marketing decisions on how to respond to the above-listed issues. They must decide if the company wants to invest more in fulfillment technology, how to allocate their resources for curbside and delivery expansion, and how to strengthen communication during substitution of items situations. Differentiating H-E-B curbside and delivery services from other online grocery competitors is challenging as well, since customer satisfaction heavily depends on timeliness, convenience, and accuracy. As demand and competition continue to rise in the online grocery shopping sector, limiting inefficiencies is paramount to staying competitive in the market.

Research Objectives & Hypotheses

Research question: How does the quality of service and dependability of H-E-B's delivery and curbside pickup services impact customer satisfaction and loyalty, including customer perceptions of similar services offered by competitors like Walmart, Amazon Fresh and Target?

Hypotheses: Please note that in this study customer satisfaction functions as both an outcome of service quality (in H1-H3) and a predictor of customer loyalty (H4). Since it serves as an outcome and a predictor, customer satisfaction is treated as a mediating factor in the customer experience.

H1: Customers who frequently experience accuracy issues (missing items or out of stock items resulting in substituted items) when using H-E-B delivery or curbside ordering services will report lower satisfaction compared to orders with accuracy.

Independent Variable (IV): Occurrence amount of order accuracy issues (out of stock products being substituted, missing items).

Dependent Variable (DV): Overall customer satisfaction.

H2: Delivery and curbside reliability (on-time vs. delayed deliveries/order pick-up times) will have a positive relationship with customer satisfaction.

Independent Variable (IV): Delivery reliability/timeliness

Dependent Variable (DV): Customer Satisfaction

H3: Customers who have an easy experience on the online ordering system (via website or application) report higher satisfaction and a greater likelihood of using the online ordering system again in the future.

Independent Variable (IV): Ease of navigating and ordering on H-E-B online ordering platform (app or website).

Dependent Variable (DV): Customer satisfaction and likelihood of using the service again.

H4: Higher customer satisfaction with H-E-B curbside and/or delivery services has a positive relationship with customer loyalty (likelihood of customer reordering or recommending the service to others).

Independent Variable (IV): Customer satisfaction

Dependent Variable (DV): Customer Loyalty

H5: Customers who consider H-E-B's curbside and delivery services to be better than competitors (Walmart, Target, Amazon Fresh) will report higher loyalty for H-E-B.

Independent Variable (IV): Customer's perception of H-E-B curbside and delivery services in relation to competitors. (Better than competitors, same as competitors, worse than competitors).

Dependent Variable (DV): Customer Loyalty (likelihood of customer reordering from H-E-B curbside and delivery or suggesting it to others).

Section 3. Survey Design, Sampling, and Questionnaire

Sampling: The population for this study is adults, 18 years or older who have used H-E-B curbside and/or delivery services in the past 6 months. This includes current users as well as lapsed users (users who have used the service in the past 6 months, but not currently active users) and consumers who additionally to H-E-B curbside and delivery services also use competitor services. The demographic scope is Texas residents (excludes H-E-B presence in Mexico). There are no restrictions on age, gender, income, household size, education level, or race. The study

will be a non-probability and convenience sampling method. The minimum sampling size needed is 100 to 150 respondents. This approach is efficient and accessible.

Survey Method: The survey will be administered online using Google Forms or Qualtrics. Since this is a research proposal, this is a method H-E-B could use in a real-world setting. H-E-B could email invitations to customers who have used curbside or delivery (within the past 6 months) and create access on the H-E-B website or app, where users could access the form if they desire. To try to increase participation, H-E-B could have an incentive like a coupon to use for their next curbside or delivery purchase.

Questionnaire:

Q1. Have you used H-E-B curbside or delivery services in the past 6 months?

> Yes (eligible for the survey, survey continues)

> No (not eligible for survey, survey ends)

Q2. In the past 6 months, how often have you experienced missing items or out of stock items requiring substitution in your H-E-B orders?

1 = Never 2= Rarely 3= Sometimes 4= Often 5= Very often

Q3. On a scale of 1 to 5, how satisfied were you with the substituted products?

1= Very Dissatisfied 2= Dissatisfied 3=Neutral 4= Satisfied 5=Very Satisfied

Q4. How often were your orders ready on time for pick up or delivery?

1= Never ready on time 2= Rarely on time 3=Sometimes on time 4= Mostly on time

5=Always ready on time

Q5. When your order was late for delivery or not ready at the scheduled time of pick up, how much did it affect your overall satisfaction?

1= No impact 2=Slight impact 3= Moderate impact 4=Large impact 5= Major Impact

Q6. How easy is it to use and navigate the H-E-B app or website?

1=Extremely Difficult 2=Difficult 3=Neither Difficult Nor Easy 4=Easy 5= Extremely Easy

Q7. How easy was it to alter your cart, edit items, or review substitutions?

1=Very Difficult 2= Difficult 3= Neutral 4= Easy 5=Very Easy

Q8. Overall, how would you rate the H-E-B app or website in terms of usability (speed, navigation, organization)?

1= Awful 2=Poor 3=Fair 4=Good 5= Excellent

Q9. Overall, how satisfied are you with H-E-B curbside and/or delivery?

1=Very dissatisfied 2=Dissatisfied 3= Neutral 4=Satisfied 5=Very Satisfied

Q10. How likely are you to use H-E-B curbside and/or delivery in the future?

1=Extremely Unlikely 2=Unlikely 3=Neutral 4=Likely 5=Extremely Likely

Q11. How likely are you to recommend H-E-B curbside and/or delivery to others?

1= Extremely Unlikely 2= Unlikely 3= Neutral 4= Likely 5=Extremely Likely

Q12. Have you used a competitor's service (Walmart curbside/delivery, Amazon Fresh, Target Curbside/Delivery)?

- Yes - No

Q13. If yes, how does H-E-B curbside and/or delivery compare to competitor's service?

1= Much Worse 2=Worse 3=Neither Worse nor Better 4=Better 5= Much Better

Demographics

D1: In the past 6 months, how often have you used the H-E-B curbside and delivery service?

- 0 times - 1 to 2 times - 3 to 5 times - 6 to 10 times - more than 10 times

D2: In the past 6 months, have you used curbside or delivery services from competitors like Walmart, Amazon Fresh or Target?

- Yes - No

D3: What is your age?

- 18-24 - 25-34 - 35-44 - 45-54 - 55-64 - 65+

D4: What is your Gender?

- Male - Female - Non-Binary/ Prefer not to say

D5: What is your Zip Code? _____ (Open response)

D6: Are you currently a student? -Yes -No

References

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